

Econ 4002/5002: Intermediate Macroeconomic Theory

Fall 2026

1 Essential Information

Instructor

Miguel Faria-e-Castro
fmiguel@wustl.edu
Office hours by appointment

Teaching Assistants

- TBA

Classes

Mondays and Wednesdays, 4:00pm-5:20pm, Louderman Hall, Room 00458

Grading

9 homeworks (30%) + 2 closed-book exams (70%)

Exam Dates

October 21st (Midterm, in-class, closed book), December 11th (Final, closed book)

2 Course Description

This is a one semester course in intermediate macroeconomics. Macroeconomics is the study of economy-wide phenomena, such as output, inflation, unemployment, or interest rates. It studies short-run aggregate fluctuations, long-run economic growth, and public policies that aim to stabilize and improve the economy as a whole (fiscal and monetary).

3 Prerequisites

The formal prerequisites are Econ 1502 (Intro. to Macro.) and Econ 4001 (Intermediate Microeconomic Theory). I will assume that you are familiar with elementary differential calculus, algebra, and statistics. I tend to go beyond the level of math in the textbook and present basic constrained and unconstrained optimization problems.

4 Textbooks and Readings

The textbook for this course is *Macroeconomics*, 11th Edition by Abel, Bernanke, and Croushore, Pearson. Earlier editions are fine, but bear in mind that there may be differences in pages for sections.

I follow the book relatively closely and complement the exposition with real-world readings, examples, and applications. I will make the lecture slides available on Canvas after each lecture.

5 Lectures

Lectures meet in person on Mondays and Wednesdays, 4:00-5:20pm at Louderman Hall, Room 00458.

6 Grading

Grading is based on 9 approximately weekly homeworks (30%) and two closed book exams, each worth 35%. When computing your final grade, I drop the lowest homework grade.

6.1 Problem Sets

There will be 9 problem sets, each covering roughly one textbook chapter worth of material. Problem sets are typically posted on Wednesday and are due the following Wednesday at the end of the class, 5:20pm. The only exception is the last problem set, which will be made available on Monday Nov 30 and is due on the following Monday, Dec 7. They should be submitted electronically on Canvas. You are encouraged to collaborate, but every person has to submit their own solution to the problem sets.

Due to the size of the class, I cannot accept late submissions or make any exceptions. If you have not submitted your own answers to the problem set by Wednesday 5:20pm, you will be graded zero. This may sound harsh, but is designed to keep things as fair as possible to everyone and to reward planning ahead.

6.2 Exams

There will be two closed-book exams: a midterm and a final. Each exam will cover roughly half a term's worth of material. The exams will take place on the following dates:

- Midterm: Wednesday, October 21st, 4:00-5:20pm (in class)
- Final: Friday, December 11th, 6pm-8pm, location TBD

Scientific and graphic calculators are the only electronic devices allowed in the in-class exams.

If you cannot make it to the exam, please let me know as soon as possible — at least one week before the exam. There will only be make-up exams if there is a documented medical or personal emergency. The exam will include questions and problems similar to those in the problem sets.

7 Office Hours

Because I work off-campus, I do not have a set time for office hours. The TAs hold regular office hours on campus, and you are strongly encouraged to attend those.

Please e-mail me if you have questions and/or need to meet. I will be holding office hours by appointment.

8 Class Participation

Participation during class is encouraged. Feel free to ask any questions you may have and to stop me if something is not clear or you think it does not make sense. There are no stupid questions.

9 Course Outline

We will cover approximately one textbook chapter a week. The tentative course outline is as follows:

1. Week 1: Introduction to the Course and to Macroeconomics (Ch. 1)
2. Weeks 1–2: Measurement (Ch. 2)
3. Weeks 2–3: Productivity, Output, and Employment (Ch. 3)
4. Week 4: Consumption, Saving, and Investment (Ch. 4)
5. Weeks 5–6: Growth (Ch. 6) and Review Class (Sept. 28)
6. Weeks 7–8: Assets, Money, and Prices (Ch. 7)
7. Week 8: Business Cycles (Ch. 8)
8. Week 9: Review Class (Oct. 19) & Midterm Exam (Oct. 21)
9. Week 10: A General Macroeconomic Model (Ch. 9)
10. Week 11: Classical Business Cycle Analysis (Ch. 10)
11. Week 12: Keynesian Business Cycle Analysis (Ch. 11)
12. Week 13: Unemployment and Inflation (Ch. 12)
13. Weeks 14–15: Monetary Policy and the Federal Reserve (Ch. 14)
14. Weeks 15–16: Fiscal Policy (Ch. 15) & Final (Dec. 11)

10 Other Issues

1. Please reach out to me if you have any questions or if you have any issues or problems that you think may interfere with your learning goals or class performance.
2. If you ever feel that the usual standards of academic integrity are not being met, please notify me immediately.
3. In case of unexpected events, such as a snowstorm or other emergency, I will hold an online lecture via Zoom and notify the class via e-mail/Canvas.
4. The use of AI tools is permitted in this course, but you are responsible for using them responsibly and ethically and for understanding any work that you submit.
5. To ensure that accommodations may be made for students who miss class, assignments, or exams to observe a religious holiday, you must inform me in writing before the end of the third week of class, or as soon as possible if the holiday occurs during the first three weeks of the semester. For more information, please see the university's Religious Holiday Class Absence Policy.